The Memory Cycle Journal

LEAD STORY KEY NUMBERS FROM THE INBOX ON X CYCLE TRACKER EVENTS

SOX (FRI CLOSE, CARRIED)
10,779.46 +0.44% · MU $877.55 (+2.46%) · SNDK $1,238.03 (−1.82%) · KOSPI 5,550.30 (+0.30%) · SK hynix ₩1,277,000 (+4.42%)

DDR5 16GB SPOT (CARRIED)
$61.27 +0.27% · TrendForce 2026-10-23 18:10 GMT+8, no weekend update · DDR4 16Gb $82.87 (−0.30%) · NAND 512Gb TLC wafer $18.592 (−1.28% wk, Oct 19)

LEAD STORY

DEMAND · HYPERSCALERS

Jassy Says the Memory Shortage Won't End in 2027 as AWS Sells Out

Amazon's cloud chief says memory is the constraint, heading into the cycle's biggest earnings week.

By the Memory Cycle Desk · Tel Aviv · ~08:15 IST Sunday (winter time, UTC+2) · Markets closed Saturday; Friday closes carried · CONFIRMED unless marked

KEY NUMBERS · FRIDAY CLOSES, CARRIED OVER THE WEEKEND

MEMORY

SK hynix	**₩1,277,000 (+4.42%)**
Samsung Electronics	**₩215,500 (+0.47%)**
Micron	**$877.55 (+2.46%)**
Kioxia	**¥12,755 (+1.27%)**
Sandisk / WDC / Seagate	**−1.82% / −2.97% / −1.81%**

PRICES AND WEEK AHEAD

SOX (−3% w/w)	**10,779.46 (+0.44%)**
Contract 3-mo (Barclays)	**DDR4 +24% / DDR5 +20%**
SKH Q3 OP consensus	**₩76.96T (FnGuide)**
Sandisk FQ1 guide/cons.	**$10.3–10.8B / ~$10.65B**
WTI / US 10-year	**$102.96 / 4.994%**

Sources: StockAnalysis, Yahoo Finance, Yonhap, TrendForce, Digital Daily, FnNews, TradingView, Jefferies.

"There's only so much memory, and I don't think that that shortage ends in 2027," Amazon CEO Andy Jassy said on an a16z podcast released Friday and widely recirculated over the weekend. AWS capacity for 2026 is sold out, 2027 is "largely sold out" and "a good chunk of '28 is sold out," he said. AWS has to choose between HBM for accelerators and DRAM for its core cloud, and 2026 capex of about **$220 billion** could go higher (Investing.com, Mint). Amazon reports Q3 on Thursday.

Pricing data point the same way. Barclays, cited by Korea's Digital Daily on Sunday, says DDR4 contract prices rose **24% over three months against 20% for DDR5**, so older parts are rising faster than new ones. A global financial firm in the same report sees the supply-demand gap peaking at 13.9% in 4Q27, with the shortage possibly lasting to 2029. Nomura's memory team, via X, says "2027 memory is basically already booked. 2028 is the bigger question."

Our call: late upcycle, tight through 2027, unchanged; a touch firmer on duration (Jassy, Nomura, LTAs reaching mobile), with positioning the main risk into the SK hynix, Samsung and Sandisk prints.

CYCLE SIGNAL: DEMAND VISIBILITY EXTENDS

KOREA · EARNINGS WEEK

SK Hynix Reports Wednesday, With the Street Looking for 78% Margins and More Buybacks

FnGuide consensus for SK hynix's third quarter is **₩98.23 trillion of revenue and ₩76.96 trillion of operating profit**, about a 78% margin. The profit estimate is down 5.6% from three months ago, mostly on the won (FnNews). Yonhap puts Samsung and SK hynix at about ₩185 trillion of combined Q3 operating profit, with HBM4 revenue for Nvidia's Vera Rubin now in the numbers and long-term agreements spreading to mobile. The Street expects another shareholder return of at least ₩30 trillion on top of August's ₩40 trillion (Newsis). Korean retail has leaned in: about $300 million of net buying in 14 single-stock leveraged products on Samsung and SK hynix and $3.55 billion in SOXL from Oct. 1–23 (Chosun Ilbo). EARNINGS TEST · FROTH WATCH

CHINA · DRAM SUPPLY

Taiwan Report Says CXMT Is Not Undercutting Rivals on DDR5

UNCONFIRMED A vice president at a Taiwanese server maker says CXMT declined to sell it DDR5, and a veteran analyst says Apple asked CXMT for prices and found them as high as the big three's (TechNews/Business Weekly, Oct. 25). About 90% of CXMT's output goes to Chinese brands. Isaiah Research sees CXMT at 300,000 wafers a month by end-2026 and 360,000 in 2027 with its Shanghai fab. Nanya, with an 85.7% Q3 gross margin, would meet CXMT head-on in DDR5 around end-2027. Single-source color; if it holds, China is adding capacity without dumping for now. CXMT's Q3 results are due by Oct. 31. SUPPLY · UNCONFIRMED

STORAGE · MICRON LABOR

Seagate and Sandisk Report This Week as Micron's Taiwan Union Returns to Talks

Seagate reports Tuesday after the close (call 23:00 IST): guidance is $4.0–4.2 billion of revenue and EPS of $7.10–7.50, against consensus of about $4.14 billion and $7.40. Sandisk follows Thursday with guidance of $10.3–10.8 billion, 83–85% gross margin and EPS of $44–46; consensus EPS of about $46.20 is above the top of the range (TradingView). Cantor cut its Sandisk target to $2,200 from $2,900 on multiple, not earnings. Micron's Taoyuan union meets management Tuesday after members rejected the offer 1,633 to 1,637. Its Oct. 7 strike mandate stays active and no date will be pre-announced (UDN, Focus Taiwan). NAND TEST · LABOR RISK

FROM THE INBOX · SINCE OCT 24, 08:00 IDT

NEW **"The washout is not complete."** Vanda finds October's tech correction resembles July's, but positioning entered at +1.7 standard deviations against +2.7 in July and semis are still +0.8. Only 22% of the semis/hardware screen is oversold,. Jefferies Saturday daily, Oct 24

NEW **Memory costs show up in the previews.** KLA: beat-and-raise expected on DRAM greenfield, with a ~100bp gross-margin headwind from memory prices. Intel is supply-limited (substrates, packaging, memory) and PC units are down by a low double-digit percentage on memory cost. Jefferies, Oct 24

ON X · SINCE LAST EDITION · IDT TO 02:00 OCT 25, IST AFTER

@intelfabs · Oct 24 21:00 IDT
Nomura memory takeaways: "2027 memory is basically already booked. 2028 is the bigger question"; AI capex is a "game of chicken."
x.com/.../2114054319620161726

@RealNickMugalli · Oct 25 00:48 IDT
JPM: memory stocks trade on the rate of price change, not the level. HBM is the differentiator; 2027 bit-supply commentary could ease oversupply fears.
x.com/.../2114111796697272576

@RealNickMugalli · Oct 24 18:22 IDT
Cantor cuts its Sandisk PT to $2,200 from $2,900; sees >$130B cumulative FCF over FY27–30.
x.com/.../2114014576157073574

@pequityresearch · Oct 24 18:01 IDT
UBS: 2027 server DDR bits +81% y/y and server SSD +50% ("unconstrained demand x2").
x.com/.../2114009268051652971

@pequityresearch · Oct 24 17:01 IDT
TSMC expert: CoWoS 130k wafers/month at end-2026, rising to 260k by 2028 (ex-OSAT).
x.com/.../2113994170331214296

@jukan05 · Oct 25 07:42 IST UNCONFIRMED
CXMT declined to sell DDR5 to a Taiwanese server maker and quoted Apple big-three prices (TechNews).
x.com/.../2114231027262759400

CYCLE TRACKER · UNCHANGED: A TOUCH FIRMER ON DURATION, POSITIONING THE RISK

GAUGE	TODAY VS OCT 24 (KPI WATCH LIST)	NUDGE
Contract ROC	Q4 DRAM +10–15% conventional, ~+20% incl. HBM (TrendForce, carry); DDR4 +24% vs DDR5 +20% over 3 months (Barclays); 1Q27 call due ~month-end	**Slowing, still up**
Spot vs contract	No weekend update; DDR5 $61.27 (+0.27%) flat while contract rises. Not the 2000/2018 divergence	**Flat**
Lead times / LTAs	Jassy: shortage beyond 2027; Nomura: 2027 booked; LTAs spreading to mobile (Yonhap)	**Tighter**
Capex growth	Samsung Taylor Fab 2 starts November (2030 target); CY27 WFE $200B+ (Lam, Cantor)	**2028 flag**
CXMT supply	300k wafers/month by end-2026, 360k 2027 (Isaiah); not dumping DDR5 (unconfirmed)	**Rising, priced firm**
P/E and positioning	SKH 4.8x FY27E after −28% in Oct; Korean retail leverage; only 22% oversold (Jefferies)	**Cheap, frothy flows**
Guidance	No new guides; SKH Wed, Samsung Thu, STX Tue, SNDK Thu	**Test this week**

VERDICT VS PREVIOUS CALL (NO. 18, OCT 24)
Late upcycle; tight through 2027, unchanged. Yesterday: a touch tighter on supply discipline. Today: a touch firmer on duration, with Jassy seeing the shortage run past 2027, Nomura calling 2027 booked and LTAs reaching mobile. Offsets: no fresh price data, incomplete washout and leveraged Korean retail into the prints, SKH profit estimates trimmed 5.6% (won), Cantor cutting multiples. This week's SKH, Samsung, Seagate and Sandisk numbers are the test.

EVENTS CALENDAR · OCT 25–NOV 7 · ISRAEL TIME (IST, UTC+2) · US ON EDT UNTIL NOV 1

Mon 26	TrendForce DRAM spot update · China Fifth Plenum (26–29)	DRAM
Tue 27	Micron Taoyuan union talks · Seagate FQ1 AMC (call 23:00) · NXP AMC · Knesset election	HDD
Wed 28	SK hynix 3Q26 call 02:00 · Jefferies AI Debate 17:00 · FOMC 21:00 (2pm ET) · KLA AMC (call 23:00)	HBM

Thu 29	Samsung 3Q26 call 03:00 · ECB · US Q3 GDP, Sep PCE · Sandisk FQ1 (call 22:30) · Intel, Amazon (calls 23:00)	NAND
Fri 30	BoJ · Tokyo Electron results · Kioxia H1 11:45 (call 12:15)	NAND
Oct 31–Nov 1	CXMT Q3 (by Oct 31) · Korea October exports (Nov 1) · US clocks go back Nov 1	DRAM
Tue Nov 3	Supermicro · AMD AMC (call 00:00 Nov 4 IST) · US midterms	AI

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #19 · Oct 25, 2026